

Quick Thoughts: The end of the free trade era

Date: 2026-01-28

Source: <https://www.franklintempleton.com/articles/2025/institute/quick-thoughts-the-end-of-the-free-trade-era>

Extraction method: selenium

Quick Thoughts: The end of the free trade era

Originally published in Stephen Dover's LinkedIn Newsletter, Global Market Perspectives. Follow Stephen Dover on LinkedIn where he posts his thoughts and comments as well as his Global Market Perspectives newsletter.

US President Donald Trump's new tariffs are overall much higher than expected and the highest in over 100 years. It came after the close of the US stock markets on April 2, but equity futures dipped along with US bond yields in afterhours trading. We expect foreign stock markets to also fall as this news is digested.

Reciprocal not universal. Trump announced 'reciprocal' tariffs on countries with the highest trade deficits with the United States, which will vary by country, with a 10% minimum baseline tariff. Trump's definition of reciprocal tariffs includes tariffs, value-added taxes (VAT), non-market policies, certification requirements, regulations, currency manipulation and anything that lowers consumption levels. This is a much broader definition of trade restrictions than most economists apply. This makes it much more difficult for foreign countries to politically lower their newly defined tariff rates. Trump announced that most reciprocal tariffs would be set at half of the rate they have calculated have been imposed on US imports.

Trump also announced an additional 25% tariff on all auto imports. This is in addition to the current 25% tariffs on steel and aluminum. Copper, lumber, semiconductors, and pharmaceutical tariffs may be announced shortly. These goods are probably not subject to the reciprocal tariffs.

Mexico and Canada not included. Mexico and Canada will not be subject to the 10% tariff. The existing 25% tariff on non-USMCA-compliant goods will remain in place.¹ This may be somewhat positive news for these countries.

China and Southeast Asia hit. China's total tariff level is unclear, but it seems to be 34% reciprocal plus 20% fentanyl-related. It is interesting that China, which has the biggest trade deficit with the United States, does not have the largest reciprocal tariffs. Southeast Asia, which benefited from past tariffs on China and China offshoring, has some of the highest reciprocal tariffs.

Recession and inflation are now more likely. Tariffs do not work if prices do not increase. The average American family may pay up to an estimated \$4,200 more per year² because of today's tariffs (assuming an average 20% tariff rate on imports). Tariffs, therefore, will likely slow household and business spending and we expect them to increase the risk of US growth and earnings disappointments in 2025.

Uncertainty elevated. Uncertainty plagued both the financial markets and the economy in early 2025. We do not know how companies or other countries are likely to respond to the announced tariffs. It is unclear if Trump has a negotiating objective. The legality of Trump's executive actions on tariffs is also unclear.

Services not included. The United States overall has a surplus in services trade which are not included in these tariffs. However, as examples, US banks, consulting and technology companies may be vulnerable to restrictions from other countries.

The 'ugly' American. The economic implications may not be the only impact as there will likely be foreign policy implications such as shunning US products and companies moving forward.

No 'Fed put.' Today's announcement will likely exacerbate worries about slowing US growth and sticky inflation. Price pressures from tariffs may keep the Federal Reserve (Fed) sidelined for at least the next few meetings.

We are cautious on the markets. Global economic weakness and earnings disappointments, alongside bouts of uncertainty, pose challenges for global equity markets. Although US 10-year Treasury yields are on par with short rates, if the economy weakens further and rates rally, we think bonds could deliver solid gains.

Endnotes:

USMCA refers to the US-Mexico-Canada Agreement signed in 2018.

Source: "The Fiscal, Economic, and Distributional Effects of a 20% Broad Tariff." Yale University Budget Lab. March 31, 2025.

WHAT ARE THE RISKS?

All investments involve risks, including possible loss of principal. Equity securities are subject to price fluctuation and possible loss of principal.

Fixed income securities involve interest rate, credit, inflation and reinvestment risks, and possible loss of principal. As interest rates rise, the value of fixed income securities falls.

International investments are subject to special risks, including currency fluctuations and social, economic and political uncertainties, which could increase volatility. These risks are magnified in emerging markets. Investments in companies in a specific country or region may experience greater volatility than those that are more broadly diversified geographically.

CONTRIBUTORS

Stephen Dover, CFA

Head of Franklin Templeton Institute

Related Content

Quick Thoughts: Is it Europe's moment to shine?

Global Investment Management Survey

RELATED CONTENT

IMPORTANT LEGAL INFORMATION

This material is intended to be of general interest only and should not be construed as individual investment advice or a recommendation or solicitation to buy, sell or hold any security or to adopt any investment strategy. It does not constitute legal or tax advice. This material may not be reproduced, distributed or published without prior written permission from Franklin Templeton.

The views expressed are those of the investment manager and the comments, opinions and analyses are rendered as at publication date and may change without notice. The underlying assumptions and these views are subject to change based on market and other conditions and may differ from other portfolio managers or of the firm as a whole. The information provided in this material is not intended as a complete analysis of every material fact regarding any country, region or market. There is no assurance that any prediction, projection or forecast on the economy, stock market, bond market or the economic trends of the markets will be realized. The value of investments and the income from them can go down as well as up and you may not get back the full amount that you invested. Past performance is not necessarily indicative nor a guarantee of future performance. All investments involve risks, including possible loss of principal.

Any research and analysis contained in this material has been procured by Franklin Templeton for its own purposes and may be acted upon in that connection and, as such, is provided to you incidentally. Data from third party sources may have been used in the preparation of this material and Franklin Templeton ("FT") has not independently verified, validated or audited such data. Although information has been obtained from sources that Franklin Templeton believes to be reliable, no guarantee can be given as to its accuracy and such information may be incomplete or condensed and may be subject to change at any time without notice. The mention of any individual securities should neither constitute nor be construed as a recommendation to purchase, hold or sell any securities, and the information provided regarding such individual securities (if any) is not a sufficient basis upon which to make an investment decision. FT accepts no liability whatsoever for any loss arising from use of this information and reliance upon the comments, opinions and analyses in the material is at the sole discretion of the user.

Franklin Templeton has environmental, social and governance (ESG) capabilities; however, not all strategies or products for a strategy consider ESG as part of their investment process.

Products, services and information may not be available in all jurisdictions and are offered outside the U.S. by other FT affiliates and/or their distributors as local laws and regulation permits. Please consult your own financial professional or Franklin Templeton institutional contact for further information on availability of products and services in your jurisdiction.

Issued in the U.S. by Franklin Templeton, One Franklin Parkway, San Mateo, California 94403-1906, (800) DIAL BEN/342-5236, franklintempleton.com. Investments are not FDIC insured; may lose value; and are not bank guaranteed.

You need Adobe Acrobat Reader to view and print PDF documents. Download a free version from Adobe's website.

CFA® and Chartered Financial Analyst® are trademarks owned by CFA Institute.